HEADNOTE

"1. An application for the preservation of evidence or inspection of premises within the meaning of Article 60 UPCA and Rules 192 et seq. RoP implies a request to disclose to the applicant the outcome of the measures, including the report written by the person who carried out the measures. This follows from the fact that the legitimate purpose of the measures is the use of the evidence in proceedings on the merits of the case (Rules 196.2 and 199.2 RoP), which includes the use of the evidence to decide whether to initiate proceedings on the merits and to determine whether and to what extent the evidence will be submitted in these proceedings. Disclosure of the evidence to the applicant or to certain persons acting on behalf of the applicant is indispensable for that purpose. Moreover, Rules 196.1 and 199.1 RoP provide that the Court may decide in its order that the evidence shall be disclosed to certain named persons and shall be subject to appropriate terms of non-disclosure. This confirms that the procedure initiated by an application under Article 60 UPCA aims at not merely the preservation of evidence and the inspection of premises as such, but also at the disclosure of the evidence to the applicant.
2. However, the granting of an application for preservation of evidence or inspection of premises does not imply an unconditional order to disclose the evidence to the applicant. Pursuant to Article 60(1) UPCA the order must be subject to the protection of confidential information (see also Article 7(1) of Directive 2004/48/EC of the European Parliament and of the Council of 29 April 2004 on the enforcement of intellectual property rights, hereinafter: Directive 2004/48/EC). Where the evidence may contain confidential information, this entails that the Court must hear the other party before deciding whether and to what extent to disclose the evidence to the applicant. In this context, the Court must give the other party access to the evidence and must provide that party with the opportunity to request the Court to keep certain information confidential and to provide reasons for such confidentiality. If the other party makes such a confidentiality request, the Court must provide the applicant with the opportunity to respond in a manner that respects the potential confidentiality interests of the other party. The Court may do this, for example, by granting access only to the representatives of the applicant whom the Court, pursuant to Rule 196.3(a) RoP, has authorised to be present during the execution of the measures and subject to appropriate terms of non-disclosure.
3. The opportunity for the other party to make a confidentiality request must be distinguished from the remedies available against the order for the preservation of evidence or the inspection of premises, such as the review of an order for preservation of evidence without hearing the defendant pursuant to Rule 197.3 RoP. Therefore, the Court must hear the other party on the request for disclosure even if this party has decided not to file a remedy against the order to preserve evidence or inspect premises. For the same reasons, the failure to apply for a review of an order for the preservation of evidence or for the inspection of premises, cannot not be considered as a tacit approval of the disclosure of evidence.
4. Pursuant to Article 60(8) UPCA the Court shall ensure that measures to preserve evidence or to inspect premises are revoked or otherwise cease to have effect, at the defendant's request, if

> *the applicant does not bring, within a period not exceeding 31 calendar days or 20 working days, whichever is longer, action leading to a decision on the merits of the case before the Court (see also Article 7(3) of Directive 2004/48/EC and Article 50(6) of the Agreement on Trade-Related Aspects of Intellectual Property Rights). Rules 198.1 and 199.2 RoP specify that the time period runs from the date specified in the Court's order, taking into account the date when the report referred to in Rule 196.4 RoP is to be presented. These rules must be interpreted in the light of the purpose of the measures for the preservation of evidence or inspection of premises, which is to use the outcome of these measures in the proceedings on the merits of the case (Rules 196.2 and 199.2 RoP). In view of this, the Court must, as a general principle, specify in its order a time period that starts to run from the date of disclosure of the evidence to the applicant or from the date on which the Court has made a final decision not to grant the applicant access to the evidence."*

COURT
Court of Appeal Luxembourg

PROCEEDINGS
Application for preserving evidence

PATENT

KEYWORDS
Appeal | measures to preserve evidence | measures to inspect premises | protection of confidential information | time period to bring an action leading to a d...

Article 60 Order to preserve evidence and to inspect premises

SUMMARY
The Court of Appeal Luxembourg ruled on the merits concerning evidence preservation and inspection of premises under the UPC. According to the headnotes of the decision, applications for preserving evidence or inspecting premises necessarily include a request to disclose the findings to the applicant. This disclosure is essential because the applicant must use the evidence to decide whether to pursue proceedings on the merits. The Rules of Procedure confirm this by allowing the Court to impose confidentiality terms on disclosure, which presupposes disclosure itself. However, granting such applications does not automatically require unconditional disclosure to the applicant. The Court must protect confidential information as required by the UPC and the Enforcement Directive. When evidence may contain confidential information, the Court must hear the other party before deciding on disclosure. The other party must receive access to the evidence and an opportunity to request confidentiality protections with supporting reasons. If confidentiality is requested, the applicant may then respond while respecting those potential interests. The Court might limit access to authorized representatives subject to appropriate non-disclosure obligations. Furthermore, the other party's right to request confidentiality is distinct from remedies against the preservation order itself. Therefore, the Court must hear the other party on disclosure even if that party does not challenge the preservation order. The absence of a challenge cannot be treated as tacit approval of disclosure. Additionally, preservation measures must cease within a specified timeframe unless proceedings on the merits are brought. The relevant period runs from when the evidence is disclosed to the applicant or when the Court finally decides against granting access. The Court should specify this timeframe in its order to align with the measures' core purpose of supporting proceedings on the merits.